

Disclosure Statement at 31 December 2024

This disclosure statement is prepared in accordance with the requirements under the Insurance (Valuation and Capital) Rules and the Circular on Public Disclosure Requirements for the First Financial Year Adopting Risk-based Capital Regime dated 8 August 2025.

1 Company profile

(a) Authorized insurer's name

Sun Life Hong Kong Limited

2 Financial position

(a) Balance sheet determined under the Insurance (Valuation and Capital) Rules

(Unit: in HKD thousands)	As at 31 December 2024				
	Total	Long term business	Of which belongs to: long term business – participating business	General business	Shareholders' fund (if applicable)
Total assets	113,657,129	106,373,808	65,665,702	-	8,594,326
Cash and deposits	2,289,902	846,581	608,253	-	1,443,321
Debt securities	71,920,435	66,441,624	41,824,782	-	5,478,811
Equities (including portfolio investments)	19,834,279	19,565,263	18,450,685	-	269,016
Derivative financial instruments	708,376	698,452	452,106	-	9,924
Properties	-	-	-	-	-
Loans and advances	1,147,041	1,147,041	1,065,414	-	-
Reverse repurchase agreement	-	-	-	-	-
Other financial assets	952,394	950,240	760,712	-	2,154
Policyholder's account assets in respect of unit linked products or retirement scheme	13,764,634	13,764,634	-	-	-
Reinsurance assets	712,186	712,186	655,139	-	-
Tax assets	96,177	-	-	-	96,177
Other assets	2,231,705	2,247,787	1,848,611	-	1,294,923

(Unit: in HKD thousands)	As at 31 December 2024				
	Total	Long term business	Of which belongs to: long term business – participating business	General business	Shareholders' fund (if applicable)
Total liabilities	92,044,849	90,188,834	55,108,484	-	3,167,020
Insurance liabilities	84,304,263	84,304,263	51,319,464	-	-
Reinsurance liabilities	884,328	884,328	723,078	-	-
Repurchase agreement	-	-	-	-	-
Derivative financial instruments	117,272	110,983	110,726	-	6,289
Other financial liabilities	617,959	538,992	405,724	-	78,967
Tax liabilities	25,792	506	506	-	25,286
Other liabilities	6,095,235	4,349,762	2,548,986	-	3,056,478
Net assets	21,612,280	16,184,974	10,557,218	-	5,427,306

(b) Commentary of balance sheet items

The other/total assets and liabilities include interfund balances between the long-term business and shareholders' fund. These interfund balances have been eliminated at the overall company level under “Total” column.

3 Insurance liabilities

(a) Total insurance liabilities determined under the Insurance (Valuation and Capital) Rules

Insurance Liabilities of Long Term Business

(Unit: in HKD thousands)	As at 31 December 2024						
	HK insurers or designated insurers: all long term business					Applicable to Hong Kong branches of non-HK insurers: reinsurance business with offshore risk if fund of insurance business with offshore risk is established	Total long term business
	Participating business	Linked long term (Class C)	Retirement scheme category I (Class G)	Retirement scheme category II (Class H)	Other long term business		
Total insurance liabilities (gross of reinsurance)	51,319,464	9,425,722	2,380,631	503,020	20,675,426	-	84,304,263
Of which: long term insurance liabilities	51,319,464	9,425,722	2,380,631	503,020	20,675,426	-	84,304,263
Outstanding claims	142,335	8,368	-	-	118,272	-	268,975
Current estimate ¹	50,887,056	9,341,017	2,378,945	503,020	11,255,320	-	74,365,358
Margin over current estimate	285,295	76,240	1,686	-	789,457	-	1,152,678
Prepaid premiums	4,778	97	-	-	8,512,377	-	8,517,252
Other long term insurance liabilities	-	-	-	-	-	-	-
Of which: general insurance liabilities	-	-	-	-	-	-	-
Reinsurance assets	655,139	(8,646)	-	-	65,693	-	712,186
Reinsurance liabilities	723,078	41	-	-	161,209	-	884,328

¹ Excludes outstanding claims, prepaid premiums and other long term insurance liabilities which are disclosed separately.

Insurance Liabilities of General Business

(Unit: in HKD thousands)	As at 31 December 2024									
	Direct insurance							Reinsurance		Total general business
	Accident and health	Motor vehicle	Marine, aviation, and transport	Property damage	Employees' compensation	General liability	Pecuniary loss	Proportional	Non-proportional	
Total general insurance liabilities (<u>gross</u> of reinsurance)	-	-	-	-	-	-	-	-	-	-
Total general insurance liabilities excluding other general insurance liabilities (<u>gross</u> of reinsurance)	-	-	-	-	-	-	-	-	-	-
Outstanding claims liabilities	-	-	-	-	-	-	-	-	-	-
Premium liabilities	-	-	-	-	-	-	-	-	-	-
Margin over current estimate for outstanding claims liabilities	-	-	-	-	-	-	-	-	-	-
Margin over current estimate for premium liabilities	-	-	-	-	-	-	-	-	-	-
Total general insurance liabilities excluding other general insurance liabilities (<u>net</u> of reinsurance)	-	-	-	-	-	-	-	-	-	-

4 Capital adequacy

- (a) Prescribed capital amount at total level and risk capital amount (“RCA”) by sub-risk, determined in accordance with the Insurance (Valuation and Capital) Rules (without applying the transitional arrangement under Part 7 of the Insurance (Valuation and Capital) Rules)

Prescribed Capital Amount

(Unit: in HKD thousands)	As at 31 December 2024
Market risk (diversified RCA)	4,756,795
Interest rate risk RCA	2,335,960
Credit spread risk RCA	1,341,049
Equity risk RCA	1,786,708
Property risk RCA	21,248
Currency risk RCA	380,278
Diversification benefits within market risk	(1,108,448)
Life Insurance Risk (diversified RCA)	5,411,809
Mortality risk RCA	237,755
Longevity risk RCA	72,744
Life catastrophe risk RCA	89,012
Morbidity risk RCA	1,660,736
Expense risk RCA	847,136
Lapse risk RCA	4,446,003
Diversification benefits within life insurance risk	(1,941,577)
General Insurance Risk (diversified RCA)	-
Reserve and premium risk RCA	-
Natural catastrophe risk RCA	-
Man-made non-systemic catastrophe risk RCA	-
Man-made systemic catastrophe risk RCA	-
Mortgage insurance risk RCA	-
Diversification benefits within general insurance risk	-
Counterparty default and other risk RCA	258,344
Diversification benefits among risk modules	(2,292,672)
Operational risk RCA	1,031,237
Adjustment for loss absorbing capacity cap	-
Adjustment for tax effect	-
Any other items which the IA may specify to adjust	-
Prescribed capital amount	9,165,514

- (b) Composition of capital base determined in accordance with the Insurance (Valuation and Capital) Rules

Capital Base

(Unit: in HKD thousands)	As at 31 December 2024
Unlimited Tier 1 capital	20,257,623
Limited Tier 1 capital	-
Tier 2 capital	723,462
Capital base	20,981,085

- (c) Ratio of capital base to prescribed capital amount

	As at 31 December 2024
Ratio of capital base to prescribed capital amount	229 %

5 Statement of Compliance

- (i) I am satisfied with the completeness, accuracy and consistency of the information disclosed in this disclosure statement in respect of Sun Life Hong Kong Limited;
- (ii) I am satisfied that the information in this disclosure statement is prepared in accordance with the Insurance (Valuation and Capital) Rules and the Circular on Public Disclosure Requirements for the First Financial Year Adopting Risk-based Capital Regime dated 8 August 2025 (subject to any applicable variation or relaxation);
- (iii) The information disclosed in this disclosure statement can be reconciled with the audited specified annual forms of Sun Life Hong Kong Limited's annual returns for the financial year to which this disclosure statement relates, as submitted under rule 4 of the Insurance (Submission of Statements, Reports and Information) Rules; and
- (iv) I am satisfied that Sun Life Hong Kong Limited has complied with the capital requirements that apply to it under the Insurance (Valuation and Capital) Rules, during the financial year to which this disclosure statement relates.

Name:	Lam Ka Yin
Position:	Chief Executive Officer
Company Name:	Sun Life Hong Kong Limited